

What is the LMSI and why does it matter?

A composite index that identifies where labour market pressure is building — before it becomes a crisis.

EXECUTIVE INSIGHT

Labour market stress peaked at 65.84 in 2023Q1 across QLD Professional Services — the highest recorded score. As of 2026Q1, Accommodation & Food Services remains the most stressed sector across all three states.

PEAK LMSI SCORE

65.84

Critical band · QLD

PEAK SECTOR

Prof. Services

QLD · 2023Q1

WHAT IS THE LMSI?

A normalised composite index combining three independently calculated components across six industries and three states, measured quarterly from 2009Q4 to 2026Q1.

40% Vacancy Intensity

Hiring demand
relative to workforce size

30% Wage Pressure

Year-on-year
wage growth pressure

30% Labour Tightness

Vacancies
relative to available workers

PEAK STATE · 2026Q1

Queensland

Highest avg. score · 34.10

MOST STRESSED NOW

Accommodation

All 3 states · 2026Q1

ABS Raw Data

EQ06 · JV · WPI · UQ2b



PostgreSQL

ETL · Join · Score



Excel · Power BI

1,187 observations

SCORE BANDS

Low

0 - 25

Moderate

25 - 45

High

45 - 60

Critical

60 +

Where is labour market stress concentrated?

Sector × state breakdown of LMSI scores — 2026Q1 snapshot with historical peak reference.

EXECUTIVE INSIGHT

Accommodation & Food Services remains the most stressed sector across all states. Queensland records elevated stress in five of six industries, indicating the broadest pressure profile.

LMSI SCORE HEATMAP — SECTOR × STATE

	2026Q1	2025Q1	2024Q1	Peak (2023Q1)	
	NSW			QLD	VIC
Accommodation & Food	38.81			44.08	42.65
Health Care & Social	35.19			37.69	38.30
Professional Services	26.59			36.83	29.03
Construction	24.82			28.11	26.11
Manufacturing	27.25			34.39	26.08
Education & Training	20.42			23.47	19.89

MOST STRESSED · SELECTED PERIOD

SECTOR	STATE	SCORE
Prof. Services	QLD	65.84

STATE STRESS PROFILE · SELECTED PERIOD

QLD	VIC	NSW
5 /6 industries	5 /6 industries	5 /6 industries

PEAK vs CURRENT

PEAK · 2023Q1	CURRENT · 2026Q1
65.84	44.08
QLD · Prof. Services	QLD · Accom. & Food
CHANGE SINCE PEAK Easing but structurally elevated	
↓ 33% −21.76 pts	

"Labour markets have eased in volume — not in cost."

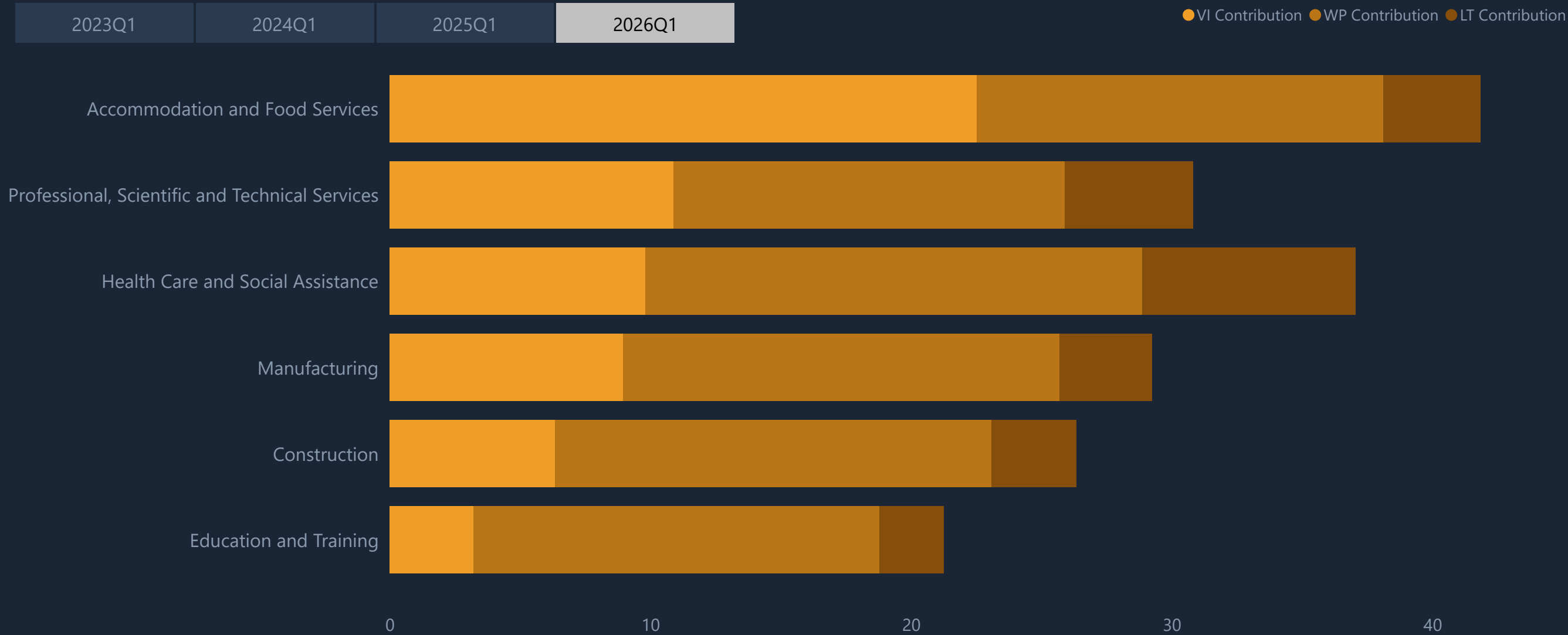
What is driving labour market stress?

Component decomposition — Vacancy Intensity, Wage Pressure, and Labour Tightness contributions by sector.

EXECUTIVE INSIGHT

Wage Pressure is the dominant driver in 84.6% of all observations across all sectors and states. Vacancy Intensity has eased significantly since the 2023 peak — reflecting lower job posting activity. However, wage costs remain structurally elevated, confirming that labour markets have eased in volume, not in cost.

COMPONENT CONTRIBUTION BY SECTOR



DOMINANT DRIVER · ALL PERIODS

85%
of observations — Wage Pressure dominant

COMPONENT AVERAGES · SELECTED PERIOD

Avg. Vacancy Intensity	10,30
Avg. Wage Pressure	16,44
Avg. Labour Tightness	4,35
Highest VI sector	Accommo...
Highest WP sector	Health Care ...
Highest LT sector	Health Care ...

KEY FINDING

Vacancy Intensity has eased significantly since the 2023 peak — reflecting lower job posting activity across all sectors and states.

"Labour markets have eased in volume — not in cost."

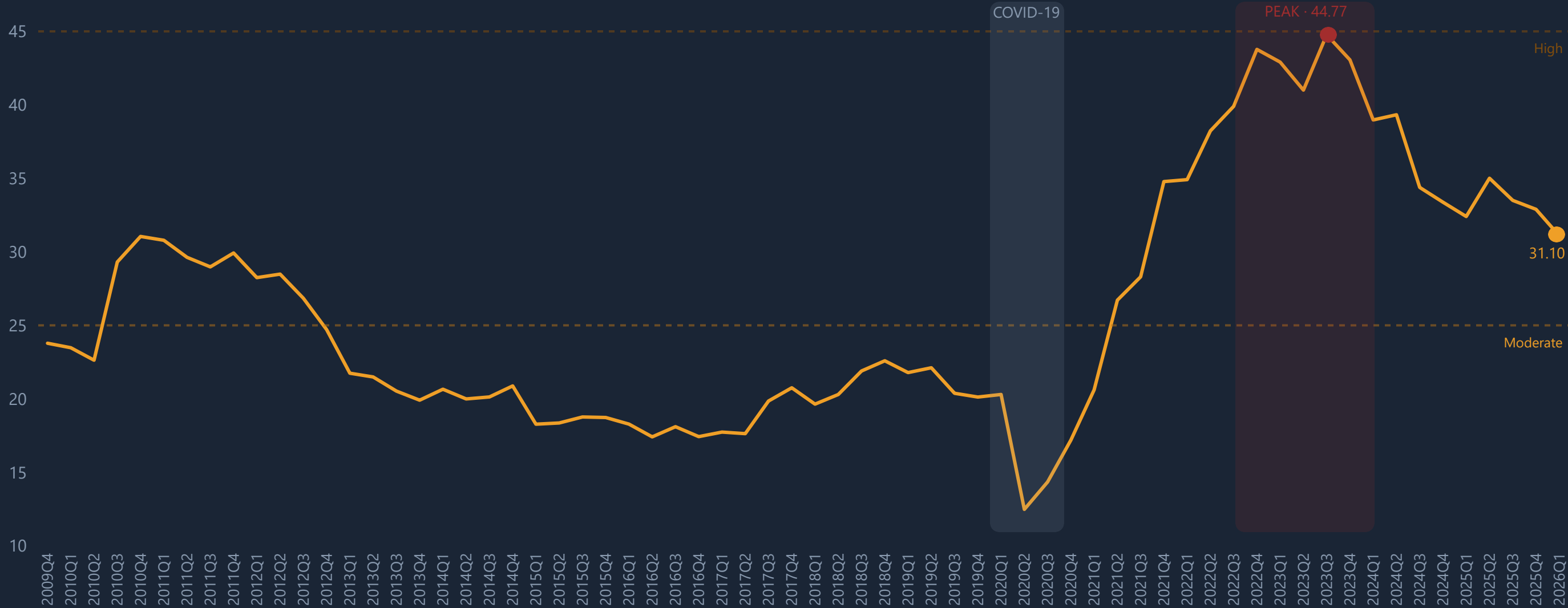
How has labour market stress evolved over time?

Quarterly LMSI trend from 2009Q4 to 2026Q1 — identifying phases, peak, and current trajectory.

EXECUTIVE INSIGHT

Labour market stress averaged 44.77 across all sectors and states in 2023Q3 — the highest recorded quarterly average. As of 2026Q1, the average has eased to 31.10, though structural wage pressure remains elevated.

AVERAGE LMSI TREND — ALL SECTORS & STATES · 2009Q4–2026Q1



KEY MILESTONES

PEAK AVG · 2023Q3	CURRENT · 2026Q1
44.77	31.10
All sectors & states	Still elevated
Change since peak	↓ 30.6%
Pre-COVID avg (2019)	21.10
Above pre-COVID by	+47.4%
COVID low (2020Q2)	12.48
Post-COVID recovery	2021Q2
Highest individual score	65.84

STRESS PHASES

- 2009–2016 · Post-GFC
Avg 23. Post-GFC, below Moderate band.
- 2017–2019 · Pre-Pandemic
Avg 20. Pre-pandemic low stress.
- 2020Q2 · COVID Shock
Avg 12.48. Sharp demand collapse.
- 2021–2023 · Surge & Peak
Avg 36.58. Rapid post-COVID rehiring + wage pressure.
- 2024–2026 · Easing
Avg 31.10. VI easing, WP structurally elevated.

What do these findings mean in practice?

Priority sectors, economic interpretations, and recommended responses from the LMSI analysis.

EXECUTIVE INSIGHT

Stress has eased in volume but not in cost. Accommodation & Food and Health Care require immediate intervention — wage pressure is structural, not cyclical, demanding targeted policy responses rather than broad macroeconomic adjustment.

01 · OBSERVATION + 02 · INTERPRETATION

01 · OBSERVATION — TOP PRIORITY SECTORS

Highest observed state

1 Accommodation & Food 44.08

Moderate · All 3 states

2 Health Care 38.30

Moderate · All 3 states

3 Professional Services 36.83

Moderate · Peak state: QLD

02 · ECONOMIC INTERPRETATION

Evidence-based interpretations derived from LMSI results.

Accommodation & Food Services

· Labour demand continues to outpace available workforce supply.

· Vacancy Intensity remains the dominant contributor to LMSI.

Health Care & Social Assistance

· Persistent Wage Pressure signals ongoing workforce constraints.

· Labour Tightness remains elevated across multiple states.

Professional Services

· Stress has moderated significantly from its historical peak.

· Labour market conditions remain structurally above normal.

03 · SUGGESTED FOCUS

03 · SUGGESTED FOCUS — PRIORITY ACTION MATRIX			
Sector	Stress Level	Recommended Response	Priority
Accommodation & Food QLD 44.08 · VIC 42.65 · NSW 38.81	Moderate	Targeted Skilled Migration Wage policy review · Workforce investment	★★ ★★★
Health Care & Social VIC 38.30 · QLD 37.69 · NSW 35.19	Moderate	Expand Domestic Training Retention strategy · Demographic planning	★★ ★★★
Professional Services QLD 36.83 · VIC 29.03 · NSW 26.59	Moderate	Active Monitoring Peak easing · Monitor wages	★★★
Manufacturing QLD 34.39 · NSW 27.25 · VIC 26.08	Moderate	Operational Efficiency Process efficiency · Technology adoption	★★
Construction QLD 28.11 · VIC 26.11 · NSW 24.82	Low - Moderate	Strengthen Apprenticeships Apprenticeships · Regional shortages	★★
Education & Training QLD 23.47 · NSW 20.42 · VIC 19.89	Low	Routine Monitoring No immediate intervention required	★

04 · EVIDENCE

04 · DECISION KPIs

Priority sectors

Top 3

Wage-driven observations

84.6%

Highest current LMSI

44.08

Peak-to-current easing

↓ 33%

Still above pre-COVID

+47.4%

States with 5+ elevated industries

2 of 3

04 · DECISION EVIDENCE

Accommodation

VI dominant (54%)

→ Migration focus

Health Care

WP + LT persistent

→ Training focus

Professional Services

53% below peak

→ Monitor only

How was the index built?

End-to-end analytical workflow, composite framework, validation, and known limitations.

EXECUTIVE INSIGHT

LMSI combines three labour market indicators into a standardised composite index using transparent weighting, validated data processing, and a reproducible analytical pipeline.

